PLAYBOOK NO. 10 · VALUE

The AI business case. Proving value without the hype.

An honest method for estimating, testing and reporting the value of AI, so you invest with confidence and stop what is not working.

INSIDE

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How to build an AI business case that survives scrutiny: where value really comes from, what it really costs, and how to prove it with a pilot and report it to the board.

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FOREWORD

Most AI business cases fail not because the value is missing, but because nobody measured it.

Boards are being asked to fund AI on the strength of demos, vendor claims and enthusiasm. Some of those investments are paying back handsomely. Others are quietly costing money with little to show. In many organisations, nobody can say which is which.

The problem is rarely the technology. It is that the case was never framed in a way that could be tested: no baseline, no agreed measures, no point at which anyone would say this is not working.

This playbook sets out a plain, honest method. Be specific about the type of value, count all the costs, estimate in ranges, prove it with a well-designed pilot and report it in terms a board recognises. It will not make every project succeed. It will make it clear, early, which ones are.



The Transputec team
Transputec

INTRODUCTION

Real value, honestly counted.

A good AI business case is not a big number. It is a clear story about what will change, how you will know and what it will cost to get there, built on assumptions anyone can challenge.

Name the value precisely

Time released, better quality, faster service, more revenue or lower risk. Each is measured differently, so be specific.

Count every cost

Licences are the visible part. Integration, training, change and governance often cost as much again.

Prove it before you scale it

A baseline, a pilot with success criteria agreed in advance and a willingness to stop if the evidence is not there.

Minutes saved are not money saved, until someone decides what to do with them.

The most common mistake in AI business cases is counting released time as cash. Value is real only when it shows up in output, quality, service or cost.

01

PART 01

Value, and what it costs.

The six types of value AI creates, the full cost of getting it and how an honest case differs from a hopeful one.

01 Why cases go wrong

02 Six types of value

03 The full cost picture

THE PROBLEM

Why so many AI business cases fall apart

> **If the case cannot say what will be different, for whom, and how you will see it, it is not a case yet.**

Most weak AI business cases follow the same pattern. Someone estimates how many minutes a tool saves per person per day, multiplies by headcount and salary, and arrives at an impressive annual figure. The licences look cheap by comparison, and the case is approved.

Twelve months later, nobody can find the savings. Headcount has not changed, costs have not fallen and the finance team is asking awkward questions. The tool may well have helped. But the case promised cash, and released time is not cash unless it is redeployed, removes cost or allows growth without extra hiring.

The second common flaw is ignoring adoption. A business case that assumes everyone uses a tool well from day one is describing an organisation that does not exist. In practice, use builds slowly, varies widely between teams and depends heavily on training and leadership.

The third is leaving out costs. Licences are easy to see. Connecting tools to your systems, preparing data, training people, changing processes and governing the whole thing are less visible, and they are often where projects run over.

There is also a timing problem. Many cases assume benefits start the day licences are bought. In reality there is a period of set-up, learning and process change when costs are high and benefits small. A case that shows this dip honestly is far more credible, and it sets expectations the board will remember at the first review. And few cases say what result would lead to stopping, so projects that are not working simply continue by default.

None of this means AI value is not real. It means value has to be named precisely, measured against a baseline and tied to a decision about what changes. It means being as clear about the conditions for success as about the prize. The rest of this playbook shows how.

SIX TYPES OF VALUE

Be specific about the kind of value

Each type of value is real, but each is evidenced differently. Pick the one or two that matter most for each use case.

VALUE TYPE	WHAT IT MEANS	HOW TO EVIDENCE IT
Time released	Work takes less effort, freeing capacity.	Before-and-after task timings, plus what the time was used for.
Quality	Fewer errors, more consistent output.	Error rates, rework, reviewer scores, complaints.
Speed	Customers and colleagues get answers sooner.	Cycle times, response times, backlog size.
Revenue	More proposals, better conversion, new services.	Pipeline and win-rate changes, compared with a control group.
Risk reduction	Fewer missed obligations or incidents.	Incident counts, audit findings, compliance checks.
Employee experience	Less drudgery, better retention.	Pulse surveys, attrition, internal feedback.

THE FULL COST

Four kinds of cost to include

Most cases undercount cost. Include all four, over the full life of the project, not just the first year.

Licences and usage

Per-user subscriptions, plus usage-based charges for APIs and agents, which rise with volume and need monitoring and caps.

Integration and data

Connecting tools to your systems, preparing and cleaning data, and the engineering time to build and maintain it.

People and change

Training, champions' time, process redesign and the dip in productivity while people learn new ways of working.

Governance and security

Policy, risk assessments, access reviews, monitoring and the ongoing effort to keep it all safe and compliant.

> **A cheap licence on an expensive process change is not a cheap project. Cost the change, not just the tool.**

HONEST OR HOPEFUL?

What separates a credible case from a hopeful one

Boards have seen enough optimistic cases. The credible one is usually the one that gets funded twice.

ELEMENT	HOPEFUL CASE	HONEST CASE
Value	Minutes saved multiplied by salary.	Named value types, with how released time will be used.
Adoption	Everyone, fully, from day one.	A realistic ramp, based on pilot evidence.
Costs	Licences only.	Licences, usage, integration, training, change and governance.
Estimates	One confident number.	A range, with the assumptions written down.
Exit	Not mentioned.	Clear criteria for scaling, adjusting or stopping.

02

PART 02

Build it honestly.

How to baseline, estimate in ranges and turn a use case into a case anyone can challenge.

01 Baselining the work

02 Estimating with ranges

03 Worked examples

BASELINING

Six steps to a baseline you can trust

Without a baseline, every result is an opinion. It need not be elaborate, but it must exist before the tool arrives.

01 **Define the task precisely**

Name the process, where it starts and ends, and who does it.

02 **Measure volume**

How many times it happens per week or month, from system data where possible.

03 **Measure effort and time**

Sample how long it takes and how long customers or colleagues wait.

04 **Measure quality**

Capture current error, rework or complaint rates.

05 **Note the context**

Record staffing, seasonality and anything else that could skew comparisons.

06 **Agree it with the owner**

The process owner signs off the baseline before the pilot starts.

REMEMBER

A rough baseline taken before the pilot is worth far more than a precise one reconstructed afterwards.

ESTIMATING

Ranges, assumptions and the discipline of saying what you do not know

> **Estimate in ranges. State every assumption. Name the one that matters most.**

A single number in a business case invites false confidence. A range invites the right conversation. For each benefit, estimate a cautious, an expected and an optimistic outcome, and write down the assumptions that drive each one.

Start from the baseline. If a task happens **V** times a month and takes **T** minutes each time, the current effort is V multiplied by T. The pilot tells you the new time per task, and the share of tasks where the tool is actually used. Those two numbers, not a vendor's claim, drive your estimate.

Then ask the question most cases skip: what happens to the released time? It might absorb growth without new hires, clear a backlog, shorten response times or fund more valuable work. Each of those has a different financial meaning. Only some of them reduce cost, and the case should say which.

Build adoption into the numbers. Use will rise over months, not days, and will differ between teams. A realistic ramp, based on what the pilot showed, protects the case from the most common source of disappointment.

Finally, test the assumptions. Which one, if wrong, would sink the case? Volume, time saved, adoption or cost per task? Name it, and plan to measure it early. Boards trust a case that knows its weak points far more than one that pretends it has none.

Use the pilot to replace guesses with evidence. Before it, the case rests on assumptions. After it, the most important numbers should come from your own people doing your own work. Update the case with what you learned, including what disappointed, and present the revised range rather than the original hope. Keep the arithmetic simple and visible: a one-page model with labelled inputs that anyone can change earns more trust than a spreadsheet only its author understands.

WORKED EXAMPLE

The method, step by step

An illustrative service desk case. Letters are placeholders for your own figures: this shows the method, not a result.

ELEMENT	HOW TO WORK IT OUT	ILLUSTRATIVE PLACEHOLDER
Volume	Tickets per month that suit AI-drafted replies.	V tickets a month
Time per ticket	Baseline handling time, then time with the tool, from the pilot.	From T1 to T2 minutes
Adoption	Share of eligible tickets where agents actually use the tool.	A per cent, rising over the ramp
Time released	V multiplied by A, multiplied by the difference between T1 and T2.	X hours a month
Use of time	What the team will do with X hours, and its value.	Backlog cleared, or growth absorbed
Total cost	Licences, usage, integration, training and governance, for the term.	C over the contract term

WORKED EXAMPLES

Three use cases, three different value stories

SERVICE DESK

AI-suggested replies and ticket summaries

MAIN VALUE

Speed and capacity: faster resolution without adding staff as volume grows.

BASELINE

Handling time, first-contact resolution and backlog, from the ticketing system.

LEADING INDICATOR

Share of tickets where agents use and accept suggestions.

LAGGING INDICATOR

Resolution times, backlog and customer satisfaction over a quarter.

FINANCE

Month-end commentary and reconciliations

MAIN VALUE

Quality and time: fewer errors and an earlier close.

BASELINE

Days to close, review comments and late adjustments.

LEADING INDICATOR

Drafts produced with AI and accepted with light edits.

LAGGING INDICATOR

Close timetable and audit or review findings.

SALES

Proposal and tender drafting

MAIN VALUE

Revenue: more and better bids from the same team.

BASELINE

Bids submitted, time per bid and win rate.

LEADING INDICATOR

Time to first draft and bids completed per person.

LAGGING INDICATOR

Win rate and pipeline value, compared with similar teams.

03

PART 03

Prove it, then report it.

Pilots that produce evidence, measures boards trust and the courage to stop what is not working.

01 Designing the pilot

02 Reporting to the board

03 When to stop

PILOT DESIGN

A pilot that produces a decision

A pilot is an experiment, not a soft launch. Design it to answer a question, and agree in advance what answer would mean what.

Frame the question

Write down what the pilot must show, for which process, and the decision it will inform.

Set success criteria

Agree the thresholds for scale, adjust or stop before the pilot starts, with the sponsor.

Choose participants

Pick a representative group, not just enthusiasts, and a comparison group where you can.

Run for long enough

Allow time for people to learn and for lagging measures to move, usually more than a few weeks.

Decide and record

Compare results with the criteria, make the call and write down why.

> **Agree the stop criteria at the start. It is much harder to set them once people are invested.**

LEADING AND LAGGING

Measure early signals and final outcomes

Lagging measures prove value but arrive late. Leading measures tell you early whether you are on track.

ASPECT	LEADING INDICATORS	LAGGING INDICATORS
What they show	Whether the conditions for value are in place.	Whether value has actually been delivered.
Examples	Active use, acceptance rate, time per task, training completed.	Cost per case, cycle time, error rate, revenue, retention.
When they move	Within days or weeks.	Over months or quarters.
What they are for	Steering adoption and spotting problems early.	Justifying continued investment and scale.
Trap to avoid	Treating usage as if it were value.	Waiting a year to find out it is not working.

01



Reporting to the board

Boards do not need the technology explained. They need to know what was promised, what has happened, what it cost and what you recommend next.

PROMISE AND PROGRESS

Restate the original case in one line, then show progress against the agreed measures, leading and lagging.

COST TO DATE

Show all costs against budget, including usage-based charges, integration and people time, not just licences.

RISKS AND ISSUES

Report incidents, near misses and any data or compliance concerns, and what has been done about each.

RECOMMENDATION

Scale, adjust or stop, with the evidence for it and the next decision point clearly dated.



OWNER

The executive sponsor, supported by finance

Bring this to the monthly review, with a date for each action.

SCALE, FIX OR STOP

What to do with each AI project

Review each project against two questions: is value showing up, and are people actually using it?

↑ EVIDENCE OF VALUE

FIX ADOPTION

Value proven, low use

It works where used. Invest in training, champions and process change before buying more.

SCALE

Value proven, high use

Expand to more teams, renegotiate on volume and keep measuring.

STOP

Little value, low use

Close it, release the budget and record the lessons for the next project.

RETHINK

Little value, high use

People like it but it does not move outcomes. Re-target it or reduce the spend.

ADOPTION →

COMMON TRAPS

Six traps that undermine AI business cases

Every one of these is common, and every one is avoidable.

01 Counting minutes as cash

Released time is capacity. It becomes money only through a decision about how it is used.

02 Ignoring adoption

Value scales with real use, which builds slowly and unevenly.

03 Forgetting the hidden costs

Integration, training, change and governance can match the licence bill.

04 No baseline

Without one, results are anecdotes and every claim can be disputed.

05 Pilots that never end

Without success criteria and a decision date, pilots drift indefinitely.

06 Never stopping

Projects that are not working keep consuming budget and goodwill.

BEFORE YOU APPROVE

Questions to ask of any AI business case

Use these to test a proposal before it reaches the board, or when it does.

VALUE

? Which type of value is this, and how will we evidence it?

? What will happen to any time released, and who decides?

? What is the baseline, and who signed it off?

COST AND CONTROL

? Have all costs been included, including usage, integration and change?

? Which single assumption, if wrong, would sink this case?

? What result would make us stop, and when will we decide?

CHECKLIST

Is your AI business case board-ready?

Tick what is in place. Gaps are where challenge will come from.

- [ ] **The value type is named and specific**
  With a clear link to outcomes the business cares about.

- [ ] **A baseline exists and is signed off**
  Taken before the tool is introduced.

- [ ] **All costs are included over the full term**
  Licences, usage, integration, training, change and governance.

- [ ] **Estimates are ranges with stated assumptions**
  And the most important assumption is named.

- [ ] **Pilot success criteria are agreed in advance**
  Including what would trigger a stop.

- [ ] **Leading and lagging measures are defined**
  With an owner and a reporting rhythm.

- [ ] **An executive sponsor owns the outcome**
  And reports progress to the board.

GLOSSARY

Words worth knowing

Business case

A structured argument for investment, setting out value, cost, risk and how success will be judged.

Baseline

A measurement of how a process performs before a change is made.

Time released

Effort freed by a change. Capacity, not cash, until it is redeployed or removes cost.

Leading indicator

An early measure that shows whether value is likely, such as active use.

Lagging indicator

A later measure that shows whether value was delivered, such as cost per case.

Adoption ramp

The gradual rise in real use of a tool over time.

Control group

A comparable team not using the tool, used to separate its effect from other changes.

Usage-based pricing

Charges that rise with how much a tool or API is used.

Total cost of ownership

All costs over the life of a solution, not just the purchase price.

Success criteria

Thresholds agreed in advance that decide whether to scale, adjust or stop.

Sponsor

The senior leader accountable for a project delivering its intended value.

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Ready to prove the value of AI?

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